

EFM

Module 3

Last 20 years Journey of Indian Economy

The Indian economy has experienced significant changes over the past 20 years, transitioning through various phases of growth, reform, and challenge. Here's a broad overview of key developments from 2004 to 2024:

2004-2008: Boom Years

- **Economic Growth:** The Indian economy grew at an impressive rate, averaging around 8-9% annually. This period was characterized by robust growth in sectors like IT, services, and manufacturing.
- **Reforms and Investments:** Major economic reforms continued from the 1990s, with increased foreign direct investment (FDI) and liberalization policies. The IT and BPO sectors saw substantial growth.
- **Infrastructure Development:** Significant investments were made in infrastructure, including roads, ports, and telecommunications.

2008-2009: Global Financial Crisis

- **Impact:** The global financial crisis had a temporary but noticeable impact on the Indian economy, with growth slowing down and increased volatility in financial markets.
- **Policy Response:** The Indian government and Reserve Bank of India (RBI) implemented stimulus measures, including fiscal stimulus packages and rate cuts, to counteract the downturn.

2009-2014: Recovery and Reform

- **Continued Growth:** The economy recovered relatively quickly, with growth rates stabilizing around 7-8%.
- **Reforms:** The UPA government introduced several reforms, including the Right to Education Act, and began planning for further liberalization in sectors such as retail and insurance.
- **Challenges:** Despite growth, there were challenges such as high inflation, fiscal deficits, and slow progress on infrastructure projects.

2014-2019: Modi Era and Economic Transformation

- **Economic Reforms:** The BJP-led government under Prime Minister Narendra Modi initiated several significant reforms:
 - **Goods and Services Tax (GST):** Implemented in 2017, this was a major tax reform aimed at creating a unified market.
 - **Demonetization:** In November 2016, the government demonetized ₹500 and ₹1,000 currency notes to combat black money and corruption.
 - **Digitalization:** Promoted digital payments and financial inclusion through initiatives like Jan Dhan Yojana and UPI.
- **Growth and Challenges:** The economy continued to grow but faced challenges such as non-performing assets (NPAs) in the banking sector and slowing investment growth.

2019-2024: Pandemic and Recovery

- **COVID-19 Impact:** The pandemic severely impacted the economy in 2020, leading to a contraction in GDP. The government introduced various stimulus packages to support businesses and individuals.
- **Recovery:** By 2021-2022, the economy began to recover with a rebound in growth rates. Sectors like technology, pharmaceuticals, and e-commerce showed resilience.
- **Reforms and Initiatives:** Continued focus on reforms in labor laws, agriculture, and the banking sector. The government also emphasized infrastructure development through initiatives like the Gati Shakti Master Plan.
- **Global Factors:** India navigated global uncertainties, including geopolitical tensions and supply chain disruptions, while trying to position itself as a major global player in manufacturing and technology.

Current Outlook (2024)

- **Growth Prospects:** The Indian economy is expected to continue its growth trajectory, driven by strong domestic demand, a young workforce, and a growing middle class.
- **Challenges:** Key challenges include managing inflation, ensuring sustainable fiscal policies, and addressing structural issues in sectors like agriculture and healthcare.

- **Strategic Goals:** The focus is on achieving sustainable and inclusive growth, enhancing technological capabilities, and improving ease of doing business to attract further investment.

Overall, the last 20 years have seen India transform into one of the world's major emerging economies, marked by periods of rapid growth, significant reforms, and challenges that have shaped its trajectory on the global stage.

Measures taken to grow Indian Economy

India's economic growth has been a focal point for policymakers, with a range of measures implemented to boost the economy. Here's a broad overview of the key initiatives and strategies:

1. Economic Reforms

- **Liberalization and Privatization:** Opening up the economy to private players and reducing government control in various sectors.
- **Tax Reforms:** Implementation of the Goods and Services Tax (GST) to simplify the tax structure and improve compliance.
- **Incentives for Startups:** Programs like Startup India and Standup India to promote entrepreneurship.

2. Infrastructure Development

- **National Infrastructure Pipeline:** Investment in transportation, energy, and urban infrastructure to enhance connectivity and efficiency.
- **Smart Cities Mission:** Development of smart cities to improve urban living standards and economic opportunities.

3. Investment in Human Capital

- **Skill Development:** Schemes like Skill India and Pradhan Mantri Kaushal Vikas Yojana (PMKVY) to improve employability and workforce skills.
- **Education:** Investments in higher education and research to drive innovation and create a skilled labor force.

4. Financial Sector Reforms

- **Banking Sector:** Recapitalization of public sector banks and measures to improve financial inclusion and digital banking.

- **Non-Banking Financial Companies (NBFCs):** Regulation and support to ensure stability and growth in the financial sector.

5. Trade and Investment Policies

- **Foreign Direct Investment (FDI) Liberalization:** Easing restrictions on foreign investments in various sectors.
- **Trade Agreements:** Negotiating and signing free trade agreements to boost exports and integrate with global markets.

6. Agricultural Reforms

- **Farm Laws:** Reforms aimed at improving market access and income for farmers, although controversial and subject to debate.
- **Support for Agro-Tech:** Encouraging technology and innovation in agriculture to increase productivity and sustainability.

7. Digital Economy Initiatives

- **Digital India Program:** Promoting digital infrastructure, e-governance, and digital literacy.
- **Fintech:** Expansion of digital payment systems and financial technology to improve efficiency and accessibility.

8. Regulatory Reforms

- **Ease of Doing Business:** Simplification of regulatory processes and reduction of bureaucratic hurdles to attract and facilitate business operations.
- **National Single Window System:** Aimed at reducing the time and complexity involved in getting approvals and licenses for businesses.

9. Social Welfare Programs

- **Direct Benefit Transfers (DBT):** Using technology to ensure subsidies and benefits reach the intended beneficiaries directly.
- **Health and Social Security:** Enhancements in healthcare infrastructure and social security schemes to improve the quality of life and economic productivity.

10. Sustainability and Green Growth

- **Renewable Energy Investments:** Expansion of solar, wind, and other renewable energy sources to support sustainable development.
- **Climate Action:** Initiatives to address climate change and promote green technologies.

These measures reflect a comprehensive approach to addressing various aspects of economic development, aiming to foster a more dynamic, inclusive, and resilient economy.

India's Economic Status in 2023

- **Fifth-largest economy by nominal GDP:** India's nominal GDP stands at approximately USD 3.7 trillion.
- **Third-largest by Purchasing Power Parity (PPP):** At around USD 13.5 trillion, India ranks third globally after the U.S. and China.
- **Per Capita Income Ranking:**
 - 139th by Nominal GDP per capita.
 - 127th by GDP (PPP) per capita.
- **Conclusion:** India's economy is large but still faces challenges in improving income levels for its citizens.

Comparison of Top 5 Largest Economies

Rank	Country	Nominal GDP (USD Trillions)	PPP GDP (USD Trillions)	GDP per Capita (USD)
1	United States	27.1	27.1	80,000
2	China	19.4	26.7	15,000
3	India	3.7	13.5	2,700
4	Japan	4.0	5.5	33,000
5	Germany	4.3	5.8	50,000

- **Key Observations:**
 - India has a much lower per capita income compared to the top 2 economies.
 - Despite a large GDP, income disparity remains a key challenge.

India's Union Budget 2023 Highlights

- **Fiscal Deficit Target:** Reduced to 5.9% of GDP in FY 2023-24.
- **Focus Areas:**
 - **Infrastructure Development:** Investments in roads, railways, and urban infrastructure.
 - **Healthcare and Education:** Increased funding for public health and education systems.
 - **Tax Reforms:** Personal income tax reductions for the middle class, more tax slabs, and incentives for MSMEs.
- **Green Initiatives:** Focus on renewable energy and carbon reduction goals.
- **Digitalization:** Enhanced digital infrastructure, including expansion of 5G networks.

Impact of Union Budget 2023 on Indian Economy

- **Short-Term Impact:** Likely to stimulate growth through infrastructure spending and tax cuts, improving disposable income and consumption.
- **Medium-Term Impact:** Enhances economic resilience and attracts foreign investment, especially in the digital and green sectors.
- **Long-Term Impact:** Potentially accelerates India's economic transition to a more sustainable, tech-driven, and inclusive economy.

Key National Initiatives

- **Make in India:** Aimed at boosting domestic manufacturing, improving the ease of doing business, and attracting foreign direct investment (FDI).
- **Digital India:** Focuses on enhancing digital infrastructure, internet accessibility, and creating a digitally empowered society.
- **Skill India:** Aimed at developing a skilled workforce through vocational training and skill development programs.
- **Atmanirbhar Bharat:** Focuses on making India self-reliant, reducing dependency on imports, and boosting domestic production.

Make in India - Objectives & Outcomes

- **Objective:** To transform India into a global manufacturing hub.
- **Key Sectors:** Automobiles, electronics, defense, chemicals, textiles, and more.
- **Impact:**
 - Creation of job opportunities.
 - Attraction of foreign investments.
 - Export growth and enhanced industrial capacity.
- **Outcomes:** Increased foreign direct investment (FDI), domestic production, and a reduction in import dependency.

Digital India - Objectives & Outcomes

- **Objective:** To enable government services and businesses to be accessible digitally and create a digitally empowered society.
- **Key Features:**
 - Digital infrastructure creation (e.g., National Optic Fiber Network).
 - Government services available online (e.g., e-governance).
 - Boost to the tech sector and entrepreneurship.
- **Impact:**
 - Promotes financial inclusion and transparency.
 - Encourages innovation and startup culture.

Skill India - Objectives & Outcomes

- **Objective:** To train youth in technical skills and make them employable.
- **Programs:** Pradhan Mantri Kaushal Vikas Yojana (PMKVY), National Skill Development Corporation (NSDC).

- **Impact:**

- Aims to address the demand-supply gap in skilled workers.
- Provides opportunities for youth to find stable, quality employment.
- Helps bridge the gap between education and industry needs.

Conclusion

- India's economic growth potential remains strong with initiatives like Make in India, Digital India, and Skill India.
- The Union Budget 2023 is expected to stimulate growth through infrastructure and green investments.
- Key challenges remain, including income inequality, unemployment, and inflation, but targeted policy actions can mitigate these issues.
- Future outlook: As India continues to strengthen its digital, manufacturing, and human resource sectors, it is well-positioned to be a global economic leader in the coming decades.